

FORM TP 2015186



TEST CODE **02260020**

MAY/JUNE 2015

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

C A R I B B E A N A D V A N C E D P R O F I C I E N C Y E X A M I N A T I O N

ENTREPRENEURSHIP

ENTREPRENEURIAL PRACTICE

UNIT 2 – Paper 02

3 hours

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of SIX mini-case scenarios, TWO from EACH module.
2. Answer ALL SIX questions.
3. EACH question is worth 15 marks.
4. Write your answers in the spaces provided in this booklet.
5. Do NOT write in the margins.
6. If you need to rewrite any answer and there is not enough space to do so on the original page, you must use the extra lined page(s) provided at the back of this booklet. **Remember to draw a line through your original answer.**
7. **If you use the extra page(s) you MUST write the question number clearly in the box provided at the top of the extra page(s) and, where relevant, include the question part beside the answer.**

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

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02260020/CAPE 2015



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INSTRUCTION: Read EACH case and answer the questions which follow.

MODULE 1: ESSENTIALS OF BUSINESS OWNERSHIP

Case 1: Make Hay while the Sun Shines

Donald is an experienced senior accounts manager at a courier company. However, Donald wants to create his own business and be his own boss. He believes that if he builds his own enterprise he would also be able to create jobs for the youth in his village. As luck would have it, Donald is offered a recognized delivery franchise that has established standard operational procedures, training programmes for employees, financial assistance and shared advertising programmes. Donald wants to leave his mark as an entrepreneur, but his experience with start-ups is limited. However, he feels that the franchise opportunity is too good to miss and wants to pursue it.

1. (a) From the case, identify THREE features of a franchise.

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[3 marks]

- (b) Explain ONE way in which Donald can demonstrate his corporate social responsibility in the operation of the franchise.

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[3 marks]



- (c) Explain THREE advantages that Donald will derive if he accepts the franchising opportunity.

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[9 marks]

Total 15 marks



Case 2: Partnering for Progress

Maxine, an MBA Entrepreneurship student, has been observing the operations of her parents' bakery business for some time now and has concluded that the business should cease operating as a sole trader and be converted to a partnership. Some of the legal and regulatory requirements for bakeries include registration, health and safety standards and compliance with tax and labour laws. Maxine feels that the conversion will allow the business to gain additional capital for technology upgrades, share the burden of risks, increase access to different expertise and create a more robust decision-making process. While a partnership offers benefits, she feels that it is important to further train the existing employees to support the expansion of the venture.

2. (a) Using information from the case above, list THREE legal and regulatory requirements the proposed partnership venture must uphold.

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[3 marks]

- (b) Outline TWO benefits to be gained from providing training to the bakery's employees.

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[4 marks]



- (c) Outline TWO advantages and TWO disadvantages of converting the business to a partnership.

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[8 marks]

Total 15 marks

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MODULE 2: NEW VENTURE PLANNING AND CREATION

Case 3: From Hobby to Business

Haniff, a Zumba exercise fitness tutor, plans to start a new venture. He has the passion to encourage others in health and wellness. Haniff knows very little about business plans and does not seem to think that plans are of much use to him or anyone else for that matter. Two months ago, Haniff spoke to a friend about business plans, and how they can be of use in soliciting potential financiers. He was informed that a business plan provides a clear road map for implementing an idea. It gives information about marketing, financials, operations and management, which are essential for success.

3. (a) Based on the case, give ONE reason why it is important for Haniff to develop a business plan.

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[2 marks]

- (b) List FOUR components that should be included in the business plan.

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[4 marks]



- (c) Explain the purpose of EACH of the THREE financial statements that Haniff must include in the financial section of the business plan.

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[9 marks]

Total 15 marks



Case 4: Family Ties

The Williams is a diverse family which has an idea to create a new business concept. While the parents are conservative, the children, who are young professionals, tend to be more open minded. The family intends to establish a sports bar with a theme from the 21 century. The head of the William family is uncertain of the feasibility of the business concept and has asked to consult with you. From the consultation sessions, the family learnt about feasibility analysis. The family has decided to assess whether the sports bar concept is feasible, focusing on marketing, sales and profit potential, industry, personality, management and timing of the business idea.

4. (a) State THREE purposes of a feasibility analysis.

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[3 marks]

- (b) Explain any TWO elements that you, the consultant, will include in the financial feasibility analysis.

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[6 marks]

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- (c) (i) Explain ONE way in which the parents' personality will influence the feasibility of the business.

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[3 marks]

- (ii) Explain ONE way in which the children's personality will influence the feasibility of the business.

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[3 marks]

Total 15 marks



MODULE 3: MANAGING, GROWING AND HARVESTING THE VENTURE

Case 5: Logistics and Distribution

Dots Delivery (D2) is a gift basket company that uses e-commerce to work with suppliers, partners and customers, and to develop and deliver services. D2 supplies exotic gifts which are customized to clients' requests. Orders are facilitated by e-mail and telephone from an online catalogue with a next day delivery service in place, which allows for efficient service and data mining. The baskets are arranged at the plant, but D2 outsources delivery to a reliable courier service company. This approach has enabled D2 to leverage a meaningful technology and logistics system to strengthen the reliability, flexibility and consistency of the service it offers, and to improve the overall success of the venture.

5. (a) State THREE ways in which D2 has adopted e-commerce to support its business venture.

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[3 marks]

- (b) Outline THREE benefits of e-commerce to the business venture.

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[6 marks]



- (c) Explain TWO ways in which D2 can use strategic alliances through e-commerce to improve the viability of the venture.

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[6 marks]

Total 15 marks

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Case 6: Online Store

Margo quit her corporate job and launched 'Mytime', an online organic bath and body store. She knew that all ventures go through a five-stage cycle. In the first month she identified vendors of the products, partnered with a popular low-cost website, registered the business name and launched the online business. The venture expanded rapidly and at the end of year one had become very difficult to manage. Margo had to make a decision about harvesting the venture and decided to value the business. She now has to choose among the options of selling the business outright, taking on new partners or facilitating an employee buyout.

6. (a) Outline THREE situations that may cause Margo to require a valuation of the business.

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- (b) Explain THREE of the five stages in the venture life cycle.

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[9 marks]

Total 15 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.



DO NOT WRITE IN THIS AREA